

Remaining 80% of time and effort	Spend it irrationally. Just make sure to last through the month
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This approach gives us a great head-start but we're not there yet. To get there (pro level), we must take it a step further and divide the Cashflow into a few divisions.

Establishing the cash flow

The cash flow will majorly involve four partitions:

1. Inescapable fixed costs
2. Investments
3. Savings
4. Guilt free spending

1. Inescapable fixed costs

Fixed costs are the damage triangle: rent, transport and food.

- The rent on a PG or a home that you inhabit is an inescapable cost. If you're living with your parents (lucky you), you could arrest a big part of the fixed costs that others spend on rent.
- At the same time, the transportation costs depend on how you commute to the office.
- While eating out comes under guilt free spend, having three meals a day is pretty default. A basic percentage of your salary must go toward consuming food and that is the fixed cost we're talking about.
- Other fixed costs are monthly bills such as mobile phone, credit card balance, internet, utilities etc.

We know that budgeting sucks and maintaining a scorecard is like acid rain on your brain. But combing through the finances once in 3 months shows that you're serious about living the rich life. The simplest way to do this is to open the bank statements and record what you see into a back of napkin calculation. It provides a decent amount of accuracy of your expenses and that's 85% of job done (remember, 85% done is very well done).